

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

**RESPONDENTS' SUR-REPLY
TO COMPLAINANT'S REPLY BRIEF**

Pursuant to the Presiding Officer's Order on Respondents' Motion for Leave to File Sur-Reply of October 10, 2023 (Dkt. No. 22-34, Doc. No. 34), Respondents Sterling Container Line Limited ("Sterling") and Atlantic Forwarding Ltd. ("Atlantic," and together with Sterling "Respondents"), by and through undersigned counsel, hereby submit their Sur-Reply to Complainant SeaFair USA LLC's ("Complainant" or "SeaFair") Reply Brief (Dkt. No. 22-34, Doc. No. 28). Respondents' Sur-Reply will address the purported new evidence and associated arguments presented for the first time in Complainant's Reply Brief, as well as certain demonstrably untrue statements asserted as fact by Complainant in its Reply Brief.

Even with newly presented evidence and related arguments, SeaFair has failed to prove its claims by a preponderance of the evidence that either of the Respondents in any way engaged in violations of the Shipping Act, including (i) 46 U.S.C. § 41102(a); (ii) 46 U.S.C. § 41104(a)(4)(A); (iii) 46 U.S.C. § 41104(a)(2)(A); or (iv) 46 U.S.C. § 41102(c).

I. INTRODUCTION

Complainant filed its Reply Brief and Responses to Respondents' Proposed Findings of Fact ("Reply Brief") on September 12, 2023. The Reply Brief for the first time incorporated new evidence and arguments, including in the form of two supplemental appendices (Supplemental Appendix 1 and Supplemental Appendix 2, collectively, the "Supplemental Appendices") in support of Complainant's new reshaping of its arguments. Because purportedly new evidence was introduced in support of the Reply Brief, the Presiding Officer granted Respondents' Motion for Leave to File Sur-Reply on October 10, 2023.

Supplemental Appendix 1 contains a set of bills of lading that were produced to Complainant by the Respondents during discovery in June of 2023. These documents were known and available to Complainant when it submitted its Opening Brief thereafter, on July 28, 2023. Complainant now, for the first time, attempts to rely on Supplemental Appendix 1 to make new arguments regarding liability for certain destination charges that are the subject of its claims, the application of Complainant's Terms and Conditions and the terms and conditions on certain Master Bills of Lading issued by non-party Mediterranean Shipping Company S.A. ("MSC"), and its own course of dealing with non-party MSC.

Supplemental Appendix 2, which was resubmitted in proper format only in conformity with the Scheduling Order on October 17, 2023 (pursuant to the Presiding Officer's Order on Respondent's Motion for Leave to File Sur-Reply), contains 1,758 pages of email documentation purporting to show that Complainant used "reasonable efforts" to collect destination charges from liable third-party consignees that it now seeks prospective reimbursement for from Respondents. These 1,758 pages are cited twice in Complainant's Reply Brief to support the proposition that the entire Supplemental Appendix 2, taken in whole, evidences SeaFair's reasonable efforts to collect

such destination charges. (Reply Brief at p. 4, p. 5). Simply hoping that the Presiding Officer will make sense of a mass of emails, and not pointing with any specificity to any communication that clearly supports Complainant's claims, is legally deficient. Respondents do not have the luxury of simply citing 1,758 pages of correspondence for a blanket one-sentence proposition, and will discuss herein how sample correspondence in Supplemental Appendix 2 in fact shows (i) due to SeaFair's poor practices and lack of organization, liable third-party consignees and/or their agents were often confused by SeaFair's invoices and billing practices based on unclear information and the timeliness of such invoices; (ii) SeaFair sought document turnover fees from third-party consignees and/or their agents for its services rendered purportedly on behalf of those consignees; and (iii) SeaFair had a practice of (potentially inaccurately) telling liable consignees and/or their agents that SeaFair already paid MSC for outstanding destination charges on their behalf – which in light of SeaFair's evolving characterization of its purported damages in terms of outstanding invoices pending from MSC, casts doubt on the consistency of the claims made in its Complaint and Opening Brief.

Regardless, Complainant's new arguments and evidence do not cure the pleading deficiencies inherent to its purported Shipping Act claims alleged against the Respondents. Ultimately, SeaFair has failed to prove its claims that either of the Respondents in any way violated the Shipping Act, including its allegations regarding Respondents' purported violations of (i) 46 U.S.C. § 41102(a); (ii) 46 U.S.C. § 41104(a)(4)(A); (iii) 46 U.S.C. § 41104(a)(2)(A); or (iv) 46 U.S.C. § 41102(c).

II. COMPLAINANT'S NEW EVIDENCE PRESENTED IN REPLY BRIEF

SeaFair's purported Shipping Act claims against the Respondents are based on invoices pending from non-party MSC issued to SeaFair for certain so-called "destination charges" which

SeaFair states it used “reasonable care” to collect from liable third-party consignees in connection with certain pre-paid shipments issued under MSC Master Bills of Lading/Sea Waybills (“MBLs”) and Sterling House Bills of Lading (“HBLs”). (Reply Brief, p. 22-23; *see also* Respondents’ Opposition Brief, p. 4-5). However, SeaFair’s introduction of the Supplemental Appendices do not support a finding that either of the Respondents violated the Shipping Act, and in fact provide further support for the Respondents’ arguments identified in their Opposition Brief.

A. Reply Brief’s Supplemental Appendix 1

In its Opening Brief, SeaFair stated that it was not a merchant under MSC’s MBLs, because the MSC MBLs at issue identified the Consignee as SeaFair as an agent of Sterling, and the terms and conditions of MSC’s MBLs define “merchant” to include “the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person.” (Opening Brief, p. 11-12). In support of its assertion that it was only an agent of Sterling and not a consignee, SeaFair cited an appendix containing 20 MSC MBLs issued between June and August of 2021, two of which identified the Consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited” and eighteen of which identified the Consignee as “SeaFair USA LLC.” (Complainant’s Opening Brief Appendix 12; Opposition Brief p. 15-16).

Accordingly, Respondents’ Opposition Brief highlighted SeaFair’s Opening Brief’s mischaracterization of its own appendix. (Opposition Brief, p. 15-16). Recognizing this self-inflicted error, SeaFair’s Reply Brief set forth an additional set of MSC MBLs as Supplemental Appendix 1 that generally identified the Consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited.”

These documents were known and fully available to Complainant when it submitted its Opening Brief on July 28, 2023, but Complainant chose not to use such documents (despite being timely produced by Respondent and in Complainant's possession). SeaFair states that it only cited the chosen sample of 20 MBLs in its Opening Brief because it was 381 pages long, and that it "thought it better to select a few to present as evidence." (Reply Brief at p. 24). However, of those 381 pages that Complainant relied on to form a key part of its arguments, there were only 20 MBLs actually "sampled," comprising approximately 40 pages of the 381 page Appendix 12.

Also of note, SeaFair falsely states that "Respondents have staunchly refused to produce the MBLs" sought in its Requests for Admission, citing a placeholder "citation." (*Id.*). Respondents in fact produced thousands of pages of requested bills of lading to Complainant. Attached as Sur-Reply Appendix 1 is a true and correct copy of the File Transfer report showing numerous zip files, which contained thousands of pages of bills of lading (that were produced from multiple non-U.S. jurisdictions) as requested by SeaFair in discovery, produced by counsel for Respondents and shown as delivered and downloaded by counsel for SeaFair on June 20, 2023. (Sur-Reply Appendix 1). When counsel for Respondent noted via email that they had trouble opening certain files after they were downloaded on June 21, 2023, an additional batch of bill of lading documentation, including the documents in the Reply Brief's Supplemental Appendix 1, were immediately re-sent. While Complainant's counsel does not appear to currently allege that she could not access the link, to the extent that is her position, Respondents received no additional follow-up indicating that SeaFair was unable to access the batch of discovery files that were shown as downloaded on Respondents' counsel's File Transfer site.

Regardless, as will be further discussed below in Section II.C, the Reply Brief's Supplemental Appendix 1 and SeaFair's new arguments concerning agency and course of dealing

with non-party MSC do not support or give any additional credence to SeaFair's allegations of Shipping Act violations on the part of the Respondents.

B. Reply Brief Supplemental Appendix 2

SeaFair's Reply Brief Supplemental Appendix 2 contains 1,758 pages of email documentation that it cites in its entirety twice in its Reply Brief for the proposition that it used "reasonable efforts" to collect destination charges from liable third-party consignees owed to non-party MSC, pursuant to SeaFair's terms and conditions and its obligation to Respondents and MSC as their destination agent. While only further highlighting how the nature of the majority of SeaFair's current claims are based on contract law (*e.g.*, requesting indemnification under SeaFair's terms and conditions and Respondents' purported breach of those terms), it is worth noting that the correspondence in Supplemental Appendix 2 in fact shows (i) due to SeaFair's disorganized invoicing and collection practices, liable third-party consignees and/or their agents were often confused by invoices and billing processes presented by SeaFair; (ii) SeaFair sought document turnover fees from third-party consignees and/or their agents for its services rendered purportedly on behalf of those consignees, despite SeaFair's claims in this litigation that they had no privity with these entities and they were not SeaFair's customers; and (iii) SeaFair often told liable consignees and/or their agents that SeaFair already paid MSC for outstanding destination charges on their behalf, and planned to or already had turned the consignees and/or their agents over to collections for outstanding destination charges.

A sample of such correspondence is included below for the Presiding Officer's reference, but given the page constraints of this Sur-Reply, Respondents cannot include all relevant examples herein. As will be discussed in Section II.C, the Reply Brief's Supplemental Appendix 2 ultimately does not support SeaFair's allegations of Shipping Act violations on the part of the Respondents.

1. Appendix 2 at SRFB-APP-002-0092 (June 10, 2022 email from Michael Daum, SeaFair Compliance & Quality Manager, to Elaine Wei of Walmay Logistics)
 - “Seafair insists to be compensated with \$30 for processing the MSC invoice sending arrival notices etc. The amount is cheap enough and does not even get close to the actual costs Seafair had for this shipment. We are not a not-for-profit organization.”
2. Appendix 2 at SRFB-APP-002-0107-0111 (January 21, April 25-26, 2022 correspondence between SeaFair’s Michael Daum and H Global Commerce, Inc.)
 - 1/21/22; SeaFair’s M. Daum: “See attached invoice MSC Chassis and Seafair doc turnover”
 - 4/25/22; Terry Lu (H Global Commerce): “What is this \$1125.00 for? We never received any invoice. I believe you guys should at least send out the invoice first! I have checked all our emails. This is the first time we receive this notice. Please send us the formal invoice regarding the amount \$1125.00. And clarify what is this about.”
 - 4/26/22; SeaFair’s M. Daum: “Pls find attached requested invoice copies – charge is for Congestion Surcharge charged by Ocean Carrier on US imports – pls check MSC’s tariff.”
3. Appendix 2 at SRFB-APP-002-0144 (March 3, 2022 email from SeaFair’s Michael Daum to NB Future USA Inc. personnel)
 - “These are US destination charges – the foreign shipper did not pay them as they are collected by Carrier and Terminal in the US. Seafair paid them and [sic] we want to be reimbursed, as they are due from consignee/notify”
4. Appendix 2 at SRFB-APP-002-0173-0174 (January 19, 2022 email from SeaFair’s Michael Daum to Binex personnel)
 - “These are Seafair’s doc turnover charges and MSC Chassis usage charge for which consignee is responsible – that is your [sic] company...Cost are your responsibility”
5. Appendix 2 at SRFB-APP-002-0221 (May 10, 2022 email from SeaFair’s Michael Daum to Century Distribution Systems, Inc. personnel)
 - “These charges are destination charges to be paid by consignee. They cannot be pre-paid, as they are not known at origin – this applies to all questions below.”
6. Appendix 2 at SRFB-APP-002-0306-308 (December 27, 2021 correspondence between SeaFair’s Michael Daum and Booking Union USA personnel)
 - Lily Hu (Booking Union): “Can you forward me MSC invoice? Then I will ask my client pay it directly to MSC and send you payment confirmation.”
 - M. Daum (SeaFair): “Seafair already paid to MSC to release cargo – pls pay SeaFair!”
7. Appendix 2 at SRFB-APP-002-0372 (March 7, 2022 correspondence between SeaFair’s Michael Daum and Sales American Shipping personnel Kate Yang)

- K. Yang: “Dear Michael, Pls kindly provide us MSC invoice. We will pay to MSC directly. Thank you!”
 - M. Daum (SeaFair): “Hello Kate – This is NOT acceptable! Seafair was invoiced and paid MSC. Also we request payment of our handling fee.”
8. Appendix 2 at SRFB-APP-002-0843-0844 (January 12, 2022 correspondence between SeaFair’s Michael Daum and U.S. Prime Agency personnel Irene Shi)
- I. Shi: “Pls forward the MSC invoices, we’ll pay MSC directly.”
 - M. Daum (SeaFair): “**For these shipments Seafair already was invoiced and has paid MSC** – Refunding request to MSC are problematic as you are aware and due to addtl workload would prompt us to issue additional invoices for the work to be [sic] done by Seafair. **The reason Seafair was invoiced is, that Seafair [sic] is consignee and notify on MSC’s MasterBL.**” (Emphasis added).
9. Appendix 2 at SRFB-APP-002-1335-1347 (February 2022 correspondence between SeaFair’s Michael Daum and CT Logistics personnel Amy Zendejas)
- 2/1/22; A. Zendejas: “This is the first time I rec’d it. At that time, your company request me pay MSC directly, how come October 2021 shipments and you sent invoice in the next year February 2022. We will try to send invoice to CNEE, but no guarantee payment.” (Citing message from SeaFair on October 11, 2021 stating “Hello Amy, Yes you can pay MSC directly. Thank you!” (APP-02-1347).
 - 2/1/22; A. Zendejas: “Please send MSC invoice, we will pay to MSC directly.”
 - 2/1/22; M. Daum (SeaFair): “We already paid MSC – these charges are due to SeaFair.”
 - 2/15/22; M. Daum (SeaFair): “\$126 [sic] include \$96 chassis and per diem charge and \$30 Seafair handling / doc turnover charge”
 - 2/15/22; A. Zendejas: “We will pay MSC \$46 + \$80 chassis directly for chassis and chassis den when ready.”
 - 2/15/22; M. Daum (SeaFair): “No this needs to be paid to SeaFair [sic], as we paid MSC!”
10. Appendix 2 at SRFB-APP-002-1419-1421 (February-March 2022 correspondence between SeaFair’s Michael Daum and Breeze Daquiri Bar LLC’s Rami Salman)
- 2/15/22; M. Daum: “These are destination charges in the US – they MUST be paid by consignee-notify – and you were the party we dealt with.”
 - 3/2/22; M. Daum: “Then your account is turned over to collections with possible ramifications on credit reporting – Money is due to SeaFair – as we paid MSC!”
11. Appendix 2 at SRFB-APP-002-1567-1574 (December 2021 correspondence between SeaFair’s Michael Daum and Walmay Logistics personnel Jasmine Geng and Pavilion Logistics personnel Hebe Lu)
- 12/22/21; M. Daum (SeaFair): “It was paid by SeaFair – you or your client have to pay SeaFair!”
 - 12/22/21; J. Geng: “my customer needs proof of your invoice. Please send original invoice to us that I will let my customer pay you later.”

- 12/22/21; M. Daum (SeaFair): “The master was consigned to SeaFair – we paid. WE are invoicing and that shall be sufficient. Your customer is welcome to spend hours on the phone to MSC to verify our chassis [sic] charge. Or we will retrieve and charge you \$50 for the additional work you create.”
12. Appendix 2 at SRFB-APP-002-1615-1620 (December 2021-January 2022 correspondence between (i) SeaFair’s Michael Daum and SeaFair’s Patrick Doeschner (Managing Director) and (ii) Renee Yip of Greenlight Express Customs)
- 12/20/21; R. Yip: “Michael, Why are you billing us? You should be billing the consignee directly since we don’t have any contracted business with you?”
 - 12/21/21; P. Doeschner (SeaFair): “Dear Renee, you are the notify party in the respective bill of lading, therefore we billed the charges to you as you are the correct invoicee.”
 - 12/21/21; R. Yip: “Patrick, What grounds do you have that we are the correct invoicee? We are the custom broker on the docs and not the consignee or importer. Why are you not billing them and bill us? We didn't have any previous contact or communication with you to authorize any billings or did we have any transaction agreement with you?”
 - 12/21/21; P. Doeschner: “Dear Renee, as per bill of lading SCLYTN330524 you are the notify party and therefore we are authorized to bill you as per B/L terms. In case you are not the correct invoicee please advise whom to bill.”
 - 1/19/22; M. Daum (SeaFair): “Renee – Invoices remain unpaid – this are doc turnover and terminal charges due from consignee.”
 - 2/16/22; M. Daum: “Renee, due invoice remains unpaid - acct targeted to be turned over to collections with possible ramifications on credit reporting”
13. Appendix 2 at SRFB-APP-002-1628-1631 (February 2022 correspondence between SeaFair’s Michael Daum and SeaFair’s Patrick Doeschner and Greating Shipping Company personnel Jennifer Li)
- 2/2/22; P. Doeschner (SeaFair): “Attached pls find the MSC invoices.”
 - 2/2/22; J. Li: “Patrick, Can we send payment to MSC directly? I don’t think customer will pay CDC of this shipment.”
 - 2/2/22; M. Daum (SeaFair): “MSC has invoiced SeaFair and they were paid by SeaFair – so the charges need to be paid to SeaFair! CPC – is our handling and document turnover – as we had to advance monies, we expect to be compensated for our handling!”
14. Appendix 2 at SRFB-APP-002-1753-1755 (December 22, 2021 and January 2022 correspondence between SeaFair’s Michael Daum and Global Logistics Connections, Inc. personnel Juan Acero)
- 12/22/21; M. Daum (SeaFair): “...These are charges paid by Seafair to MSC and Seafair handling. After all we had work to perform as well. Please do honor our invoice.”
 - 12/22/21; J. Acero: “Dear Michael, Our agent doesn’t accept these invoice, we need invoice from carrier.”

- 12/22/21; M. Daum: “Your customer was not the consignee on the MSC Master. Seafair paid and invoices you – pls pay!”
- 1/19/22; M. Daum: “Invoices remain unpaid – acct to be turned over to collections.”

This sample of 14 email exchanges is generally representative of the 1,758 pages of correspondence provided in SeaFair’s Supplemental Appendix 2. Consignees and their agents were often surprised by the late invoices provided by SeaFair, and requested additional information regarding container and MBL numbers, along with information concerning the proper invoicee. Further, the fact that SeaFair often asserted that it had paid non-party MSC for certain invoices on behalf of these consignees and/their agents undercuts, and gives additional examples of, SeaFair’s inconsistent descriptions and characterizations of its purported damages throughout this litigation.

Again, SeaFair’s Complaint requested reparations from Respondents of \$321,533.52 in destination charges paid by SeaFair in “out of pocket destination charges on behalf of Respondents,” (Complaint at ¶ 15 and ¶ 32), and subsequently in its Opening Brief characterized these damages as \$294,283.88 in pending *unpaid* destination charges that SeaFair has been invoiced by non-party MSC, as well as for certain “Carrier Processing Charge/Fees” or “CPC” in the amount of \$18,090.00. (Opening Brief, SeaFair Proposed Findings of Fact 10, 17-18). Not only has SeaFair consistently misrepresented its purported damages, SeaFair has consistently failed to plead that any of the evidence its presented support any finding of Shipping Act violations on the part of the Respondents.

C. Application to SeaFair’s Purported Shipping Act Claims

i. 46 U.S.C. § 41102(a)

SeaFair’s Supplemental Appendices do not support a finding that Respondents violated 46 U.S.C. § 41102(a). SeaFair has clearly not shown that Respondents’ engaged in (i) knowing and willful conduct, (ii) through fraud or concealment constituting unjust or unfair device or means, to

(iii) obtain or attempt to obtain ocean transportation at lesser rates – all of which are required for a finding of a violation of § 41102(a). *Muhammad Rana v. Michelle Franklin, D.b.a. "the Right Move," Inc.*, 2022 WL 1744905 (F.M.C.) (May 25, 2022; Dkt. No. 19-03), at *7-8.

SeaFair's Reply Brief points to Sterling's FMC tariff and identification on MSC MBLs (such as those in Supplemental Appendix 1) to assert that the "scheme" of the tariff "is constructed so that Respondents' client will pay Respondents, who will then pay the VOCC...[and] [t]herefore, Respondents knew that they would be obligated to pay charges to the VOCC as part of obtaining ocean transport." (Reply Brief at p. 31). However, based on the correspondence provided in Reply Brief Supplemental Appendix 2 and identified herein, along with SeaFair's assertions regarding its course of dealing with non-party MSC and its own admissions that it was responsible for using reasonable care and effort in collecting from liable consignees, it is clear that the "scheme" under Sterling's tariff, non-party MSC's tariff, and Respondents' agreement with SeaFair (including under Respondents' terms and conditions) envisioned SeaFair collecting destination charges in a reasonable and timely manner from liable consignees for payment to non-party MSC.

There are no allegations of fraud or concealment that occurred by the Respondents constituting an unjust or unfair device or means, and Respondents did not obtain or attempt to obtain ocean transportation at lesser rates. According to SeaFair, Respondents' bad faith "unjust or unfair means" purportedly stems from Respondents refusing to "collect charges from clients" and "refusing to indemnify SeaFair when Respondents' client refused to remit the funds necessary to pay MSC." (Reply Brief, p. 32). But again, as SeaFair readily admits, it was SeaFair's contractual obligation to use reasonable care in collecting these destination charges to make payment to non-party MSC. It is unclear what destination charges were paid by consignees directly to MSC, what charges were sent to collections by SeaFair when dealing with consignees and/or

their agents, and what invoices were in fact paid to SeaFair. It is also unclear whether and when SeaFair made these payments to MSC in the first place – as can be seen in the sample correspondence identified in Section II.B herein, it often told consignees that it made payments to MSC on their behalf (similar to how SeaFair alleged in this litigation that it paid \$321,533.52 in out of pocket destination charges on behalf of Respondents, only to later state that it had \$294,283.88 in pending *unpaid* invoices from non-party MSC).

Regardless, the record clearly shows that SeaFair has not alleged or met its burden of proof by a preponderance of the evidence that either Sterling or Atlantic engaged in knowing and willful conduct, through which, either directly or indirectly, by means of the actions enumerated in § 41102(a) or through any other unjust or unfair device or means obtained or attempted to obtain ocean transportation at lesser rates.

ii. 46 U.S.C. § 41102(c)

SeaFair’s Supplemental Appendices do not support a finding that Respondents violated 46 U.S.C. § 41102(c), and do not show either of the Respondents engaged an unjust or unreasonable practice in connection with receiving, handling, storing, or delivering property that has occurred on a normal, customary, and continuous basis.

SeaFair attempts to characterize Respondents’ § 41102(c) “practice” as refusing to pay and collect charges due to SeaFair throughout the entire course of dealing, pointing to invoices that were not paid by “Respondent’s clients.” (Reply Brief, p. 33). As a threshold matter, Respondents had no insight into SeaFair’s billing practices or procedures as destination agent with respect to collecting destination charges from third-party consignees for payment to non-party MSC. As can be seen in SeaFair’s Supplemental Appendix 2, there was great confusion from internal SeaFair personnel and the liable consignees and their agents with respect to the timing of these invoices,

how to make these payments and who to make them to. In at least one case, in October 2021 SeaFair personnel expressly told an agent for a liable consignee, CT Logistics, that they could pay MSC directly for destination charges – only to then issue a subsequent bill in February 2022 requesting, among other things, that the agent pay SeaFair for document turnover and handling fees. (Supplemental Appendix 2 at SRFB-APP-002-1335-1347).

It was only in mid-late summer of 2022 that SeaFair issued a demand letter to Respondents asserting that Respondents were liable for \$321,533.52 to SeaFair in “destination charges” that “were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling,” stating that SeaFair was “contractually entitled to reimbursement” – and which was subsequently identified in a separate surety bond claim in October 2022. (Opposition Brief, p. 12). Respondents didn’t even have copies of the non-party MSC invoices issued to SeaFair until they were presented in this FMC litigation – so is unclear how SeaFair portends to allege that Respondents’ engaged in a “practice” of refusing to “pay and collect charges due...throughout the entire course of dealing.” (Reply Brief, p. 33).

As a final note, in terms of seeking to allege a continuous and customary practice by Respondents, SeaFair states in its Reply Brief that the First Surety Bond claim it submitted for document turnover fees was “made necessary by Respondents’ constant stalling of payment” (Reply Brief, p. 33) and the “reason for lengthy negotiations [in connection with the First Surety Bond Claim] is due to Respondents’ lack of clear communication.” (Reply Brief, p. 17). As discussed in the Opposition Brief at p. 10-11, negotiations regarding the first Surety Bond Claim filed by SeaFair against Respondents for document turnover fees took several months during the spring and summer of 2022 because SeaFair continued to claim invoices were outstanding by Respondents that had already been paid on March 9, 2022. SeaFair asserts that Respondents did

not provide SeaFair with information regarding the invoices or portions of invoices detailed in the March 9, 2022 payment. (Reply Brief, p. 17). Yet in fact, specific invoice information and details corresponding to the Respondent's March 9, 2022 payment had been sent by Respondents (Marc Matschullat of Atlantic Forwarding) to SeaFair personnel, including Mr. Patrick Doeschner and Ms. Pirmin Doeschner, on March 25, 2022. (Sur-Reply Appendix 2, at RXSR-APP-02-001, 02-009 (showing contents of email attachment 20220309_CIC_Payment_details to SeaFair.pdf)). The fact that SeaFair continued to invoice Respondents for certain payments that had already been made by Respondents resulted in the months of delayed negotiations over outstanding document turnover fees alleged to be due and owing in SeaFair's first Surety Bond Claim, and have since paid to SeaFair.

In sum, neither of the Supplemental Appendices nor related arguments in SeaFair's Reply Brief show by a preponderance of the evidence that Respondents violated 46 U.S.C. § 41102(c), and SeaFair has not shown that the claimed acts or omissions of Respondents were occurring on a normal, customary, and continuous basis; that Respondents' acts or omissions were a practice or regulation that is connected with receiving, handling, storing, or delivering property; or that Respondent's purported practice was unjust or unreasonable. Further, SeaFair has not demonstrated any proximate cause between a violation of § 41102(c) by Respondents to its claimed loss or purported damages.

iii. 46 U.S.C. § 41104(a)(4)(A) and 46 U.S.C. § 41104(a)(2)(A)

Finally, SeaFair's Supplemental Appendices and related arguments do not support a finding that Respondents violated 46 U.S.C. § 41104(a)(4)(A) or § 41104(a)(2)(A) by engaging in unfair or unjust discriminatory practices in the matter of rates or charges, or by providing services not in accordance with rates contained in a published tariff. SeaFair points to its Terms and

Conditions of Service, as well as Sterling's tariff, and information provided in the Supplemental Appendices to support its assertions regarding Respondents' actions that purportedly violated subsections of § 41104(a).

In terms of § 41104(a)(4)(A), SeaFair states that Respondents are unjustly benefiting some customers at the expense of SeaFair, and have unjustly collected charges from some customers, but not others. (Reply Brief, p. 28). This is simply untrue. As evidenced by SeaFair's Supplemental Appendix 2, and as asserted by SeaFair throughout this litigation, SeaFair was contractually obligated to use reasonable care and reasonable effort to collect destination charges from liable third-party consignees and make payment to non-party MSC. Respondents had no oversight over SeaFair's billing practices and procedures, because Respondents are non-U.S. companies that engaged SeaFair to act as a destination agent and make those collections for payment to MSC. Respondents have not collected charges from the consignees at issue because through course of dealing Respondents presumed SeaFair was working to fulfil its obligations in terms of collections from those parties in 2021 and 2022. Respondents have not admitted they have "collected charges from some of their clients" but not others as SeaFair falsely asserts in the Reply Brief. (Reply Brief, p. 28). Rather, Respondents reached out to a consignee in 2022 to inquire why SeaFair had not been able to collect payment on a particular charge to date, and the consignee paid *SeaFair*. (Opposition Brief, p. 11).

SeaFair is seeking contractual indemnification for invoices that have been issued to it by non-party MSC. (Opening Brief, p. 13-14, p. 21). The FMC does not have the authority to hear a complainant's claims alleging failure to maintain contractual obligations or breach of contract. *Earlean Edwards Dukart v. Ocean Star International Inc., D/b/a International Van Lines*, (F.M.C.) 2020 WL 13512914, at *8, 2 F.M.C.2d 118, 126.

In terms of § 41104(a)(2)(A), SeaFair has not shown that Sterling (or Atlantic) provided service in the liner trade which deviated from its published tariff. Based on the information and correspondence SeaFair provides as Supplemental Appendix 2, Respondents have no way to know which destination charge invoices were in fact paid by third-party consignees directly to SeaFair or directly to MSC, which destination charges were sent by SeaFair to “collections,” or why SeaFair was charging “document turnover fees” to the Respondents as well as to the third-party consignees and their agents that SeaFair consistently refers to as “Respondents’ clients.” SeaFair’s interactions with consignees and their agents in Supplemental Appendix 2 consistently refer to non-party MSC invoices, MSC’s tariff, and consignee obligations under the MSC MBLs. SeaFair now points to its online terms and conditions to assert that the responsibility for collection of destination charges is purely on Respondents. (Reply Brief, p. 28). This is a matter premised on Respondents’ obligation to meet contractual commitments, and concern issues such as contract law, indemnification, and purported breach – which are not proper for the FMC to decide. *Earlean Edwards Dukart*, 2020 WL 13512914, at *8, 2 F.M.C.2d 118, 126.

Ultimately, SeaFair has failed to show by a preponderance of the evidence that Respondents violated any subsections of 46 U.S.C. § 41104(a).

III. CONCLUSION

For the reasons identified herein and in Respondents’ Opening Brief, Complainant has failed to show that either of the Respondents violated any provisions of the Shipping Act as alleged (including 46 U.S.C. § 41102(a); 46 U.S.C. § 41104(a)(4)(A); 46 U.S.C. § 41104(a)(2)(A); and 46 U.S.C. § 41102(c) (or 46 C.F.R. 545.4)), and accordingly no civil penalty under 46 U.S.C. § 41107 or reparations under 46 U.S.C. § 41305(b) should be imposed on the Respondents by the FMC. Further, Complainant’s requested relief for reparations (in the form of requests to “order

Respondents to pay the applicable charges either directly to MSC or by paying SeaFair” and to “order Respondents to pay to SeaFair reparations for the unlawful conduct described above in interest and attorney’s fees incurred in correcting the invoices subject to the first claim and second claim” (Reply Brief, p. 34-35)) is entirely improper. Complainant has not met its initial burden of proving a violation or violations of the Shipping Act has or have occurred by Respondents, Complainant has failed to prove actual injury, Complainant has failed to show actual payment to non-party MSC purportedly constituting injury, and Complainant has failed to demonstrate proximate cause in connection with its requested reparations. SeaFair’s Complaint and associated claims, even as amended by its Opening Brief and Reply Brief, should be dismissed with prejudice.

Date: October 20, 2023

Respectfully Submitted,

/s/ Ashley K. Kelley

Ashley K. Kelley, Esq.

(SC #78013; US District Court for the
District of South Carolina #10369)

Womble Bond Dickinson (US) LLP

5 Exchange Street

PO Box 999 (29402)

Charleston, SC 29401

Direct Dial: (843) 720-4679

Email: Ashley.Kelley@wbd-us.com

Julius H. Bodie, Esq.

(D.C. Bar # 1601620; CA Bar # 318048)

Womble Bond Dickinson (US) LLP

2001 K Street, NW

Suite 400 South

Washington D.C. 20006

Direct Dial: (202) 857-4552

Email: Julius.Bodie@wbd-us.com

*Counsel for Atlantic Forwarding Ltd. and Sterling
Container Line Limited*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 20th day of October 2023, the foregoing Sur-Reply was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Alex M. Chintella
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
SEAFair USA LLC
C/O LIANG + MOONEY, PLLC
Shanshan Liang, Esq.
sliang@customscourt.com
Counsel for SeaFair USA LLC

/s/ Ashley K. Kelley
Ashley K. Kelley, Esq.